Wapic Insurance Plc.
First Quarter 2016
Financial Results Presentation

May, 2016

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Speaker Topics

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

Quarter Two Outlook

Our Philosophy

Our Vision

To transform and illuminate the insurance industry for the benefit of our customers and other stakeholders

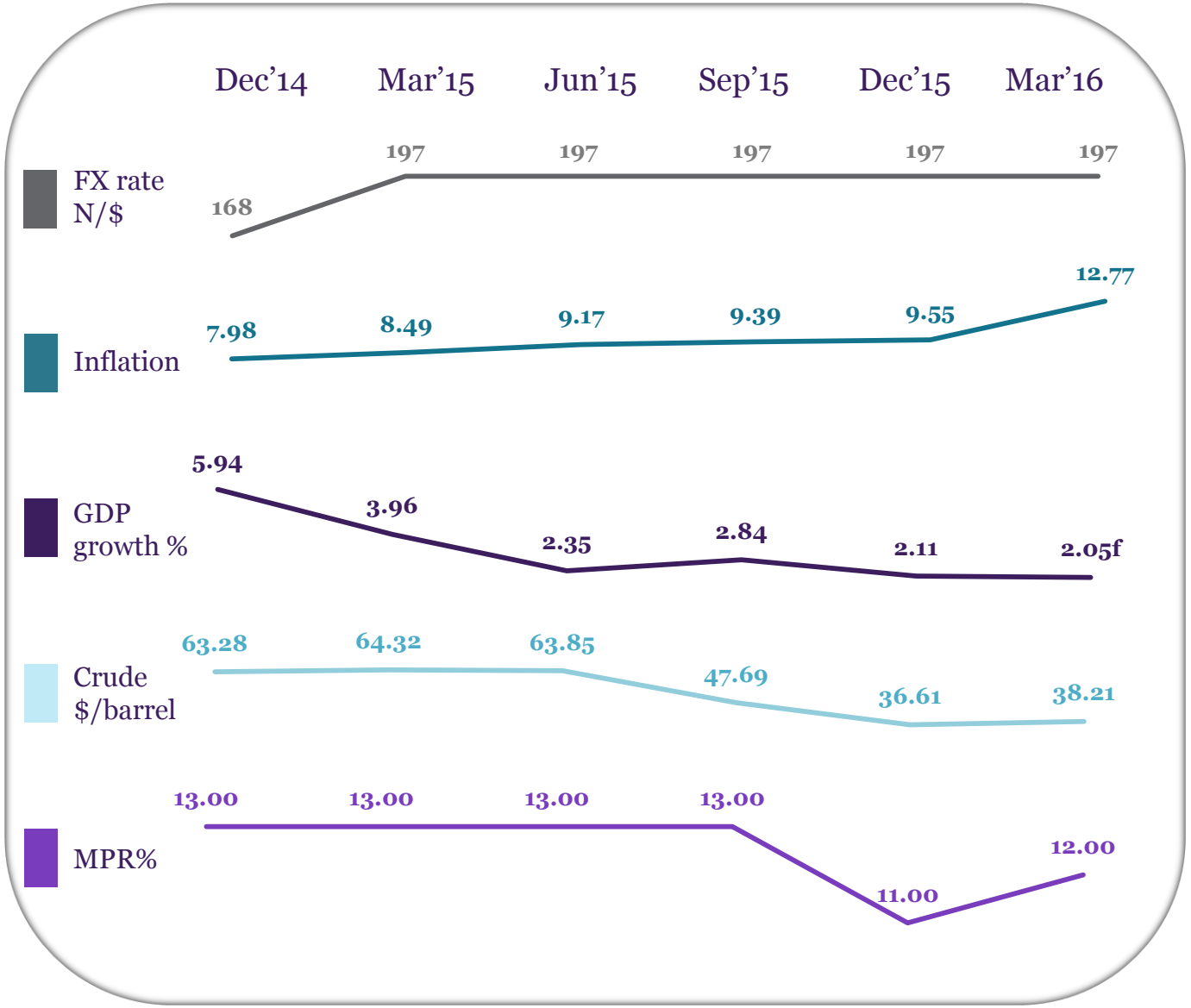
Our Mission

To lead in all that is worthy

Core Values

1. Empathy
2. Leadership
3. Excellence
4. Innovation
5. Teamwork
6. Sustainability
7. Professionalism

Operating environment



Highlights

The official exchange rate remained at N197/$ however the parallel market sold at N320/$. The CBN has taken a stand against the devaluation of the Naira.

Headline inflation rose to 12.77%, the highest in 3 years reflecting the increase in food and core inflation. The rising inflation is more structural than monetary arising from the foreign exchange crisis and lingering scarcity of fuel amongst other factors.

GDP growth continued a downward trend in Q4 2015 and it is expected to fall even lower for Q1 2016. Overall, 2015 growth is estimated at 2.79%- implying that Nigeria underperformed the SSA average for the first time in decades.

Oil prices gained slightly in Q1 2016. Over the last two years, oil prices have been falling as global supply outstripped demand. As a result, oil producers have been deliberating an output freeze to combat the glut. This has resulted in a slight increase in global oil prices.

CBN raised MPR from 11% to 12% and CRR was raised to 22.5% from 20%. This upward review signals a reversal to monetary tightening.

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Regulatory environment

The FG constitutes 10 member committee to review Insurance (consolidated) bill. This seeks to align the bill with the principles of global best practices in the insurance industry as well as enhancing a well organised insurance industry in the country.

The recent inauguration of the Insurers Committee has opened a new phase of development in the insurance industry. The committee provides a common platform for industry players and the regulator (NAICOM) to interact regularly (bi-monthly) on issues bordering on market development and regulation.

NAICOM commenced the implementation of a Risk-Based Supervision (RBS) model in the insurance industry. The RBS is expected to expose the under capitalized insurers in Nigeria, this would lead to setting of a new regulatory and minimum capital which induce Mergers and Acquisitions (M&A) in the industry.

The Nigerian Council of Registered Insurance Brokers (NCRIB) has advised insurance brokers not to pay any bidding fees as prerequisite for offering insurance broking services to any company or government institution.

NAICOM recently issued a circular which stipulates April 2016 for compliance with the Code of Corporate Governance which was first released in 2009. The emphasis of the circular was on succession planning for insurance companies' board of directors.

Both the Debt Management Office (DMO) and Nigerian Stock Exchange (NSE) are reportedly putting in place a product that will enable retail investors venture into FGN bonds market with access to steady returns on their investments. This may further worsen the woes in the equity market.

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

Profitability

	Q1'16	Q1'15		%Δ
Gross Written Premium	3,022	2,716	↑	+11
Net Underwriting Income	1,159	1,004	↑	+15
Total Underwriting Expenses	800	483	↑	+66
Underwriting profit	359	521	↓	-31
Net Investment & Other Income	306	503	↓	-39
Expenses & Provisions	723	844	↓	-14
Profit before Tax	163	180	↓	-9
OPEX ratio	24%	31%		-23
Net claims ratio	46%	21%	↑	+105

Financial Position

	Q1'16	FY'15		%Δ
Reinsurance Assets	1,463	923	↑	+59
Financial Assets	5,079	4,313	↑	+18
Total Assets	24,621	23,695	↑	+4
Total Liabilities	9,554	8,732	↑	+9
Shareholders Funds	15,067	14,962	↑	+0.7
ROA	0.7%	7.0%	↓	-91
ROE	0.8%	8.7%	↓	-90

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Income statement review

NGN million

	Q1'16	Q1'15	%Δ
Gross Written Premium	3,022	2,716	↑ +11
Reinsurance expenses	713	512	↑ +39
Net claims expenses	463	187	↑ +148
Underwriting expenses	337	296	↑ +14
Underwriting profit	359	521	↓ -31
Investment income	289	352	↓ -18
Other operating income	17	151	↓ -89
Operating expenses	723	844	↓ -14
Profit before tax	163	180	↓ -9

Highlights

- GWP performance is at N3bn in Q1'16 up from N2.7bn in Q1'15, representing an 11% increase from the prior period.
- Reinsurance expenses grew by 39% q/q due to premium growth and increase in facultative reinsurance to manage adverse exposure especially in oil and energy businesses.
- The upturn in Net claims expenses came as a result of increased claims paid out for the period , and the need to maintain an adequate IBNR reserve.
- Investment Income was adversely impacted by the poor conditions in market rates for the period.
- Operating expenses reduced by 14% in Q1'16 when compared to the similar quarter last year, driven by improved cost controls during the period.
- PBT fell by a 9% q/q to N163m in Q1'16 (Q1'15: 180m) due to the drop in investment income, mainly driven by the challenging operating environment during the period.

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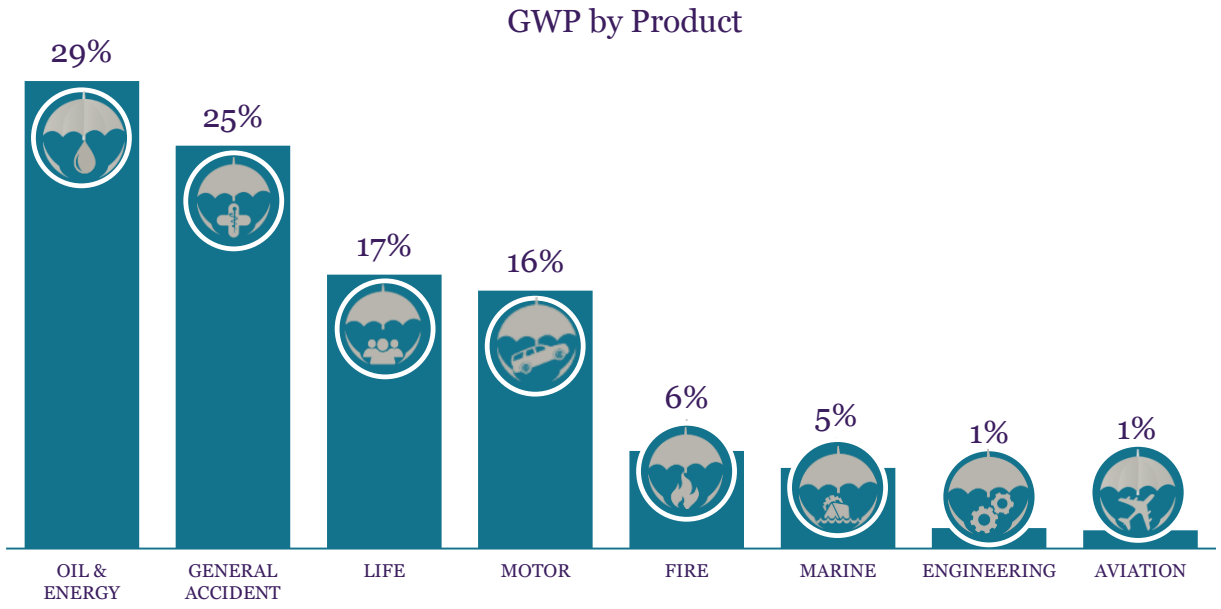
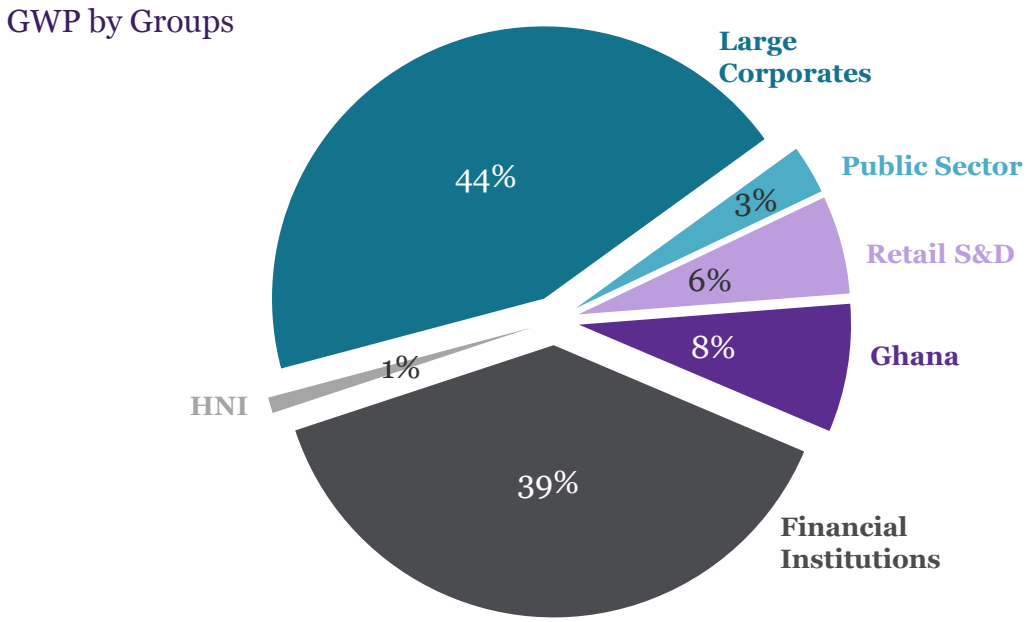
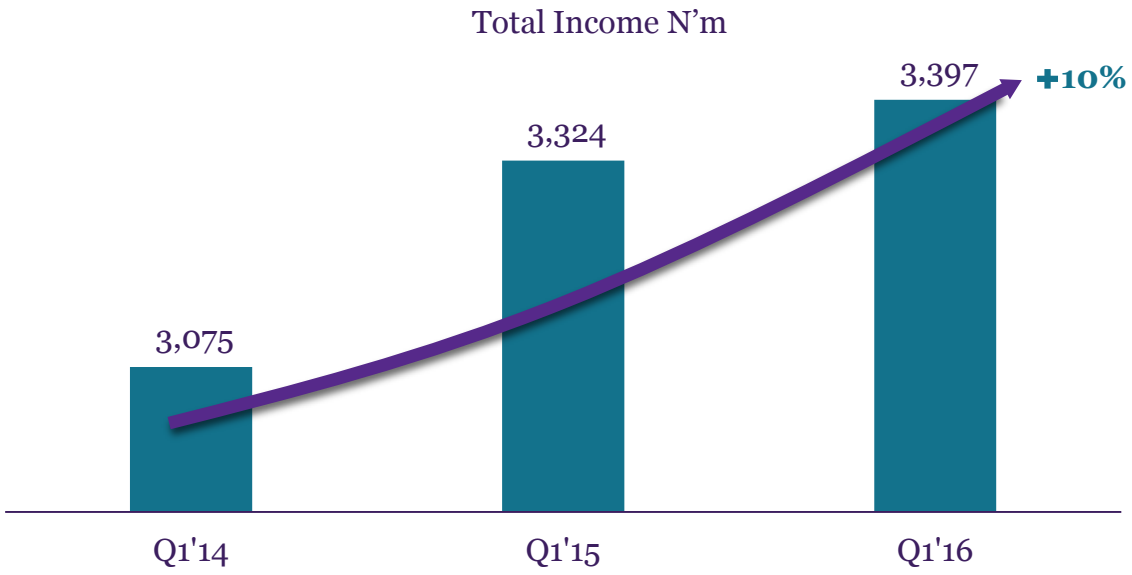
Revenue







Highlights

- Total income grew by 10% to N3.4bn in Q1'16 from N3.1bn in Q1'13.
- GWP contributions from Oil and Energy, General Accident, Life and Motor are at 29%, 25%, 17% and 16% respectively, representing the top four products for the quarter.
- Contributions from Engineering and Aviation are the lowest for the period.
- Running with the new group structure in 2016, Large corporates is the biggest contributor to the Group's GWP in Q1'16 at 44%.
- Wapic Ghana's GWP grew by 32% y/y in real terms; however, continued FX headwinds adversely impacted its contribution to the Group figures.

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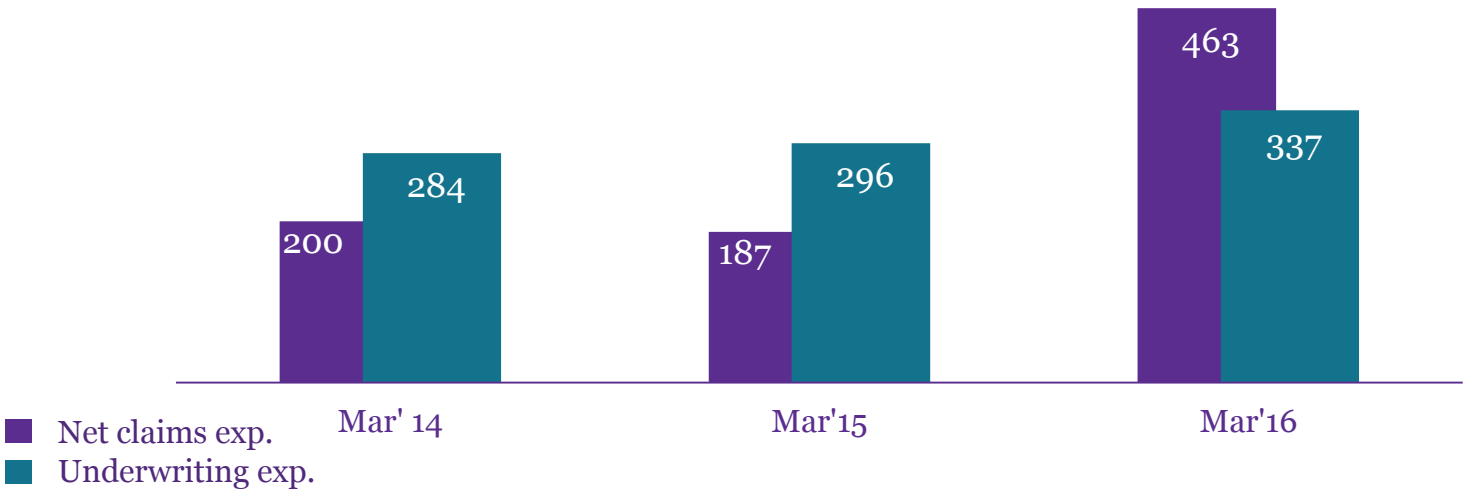
Group expenses

NGN million

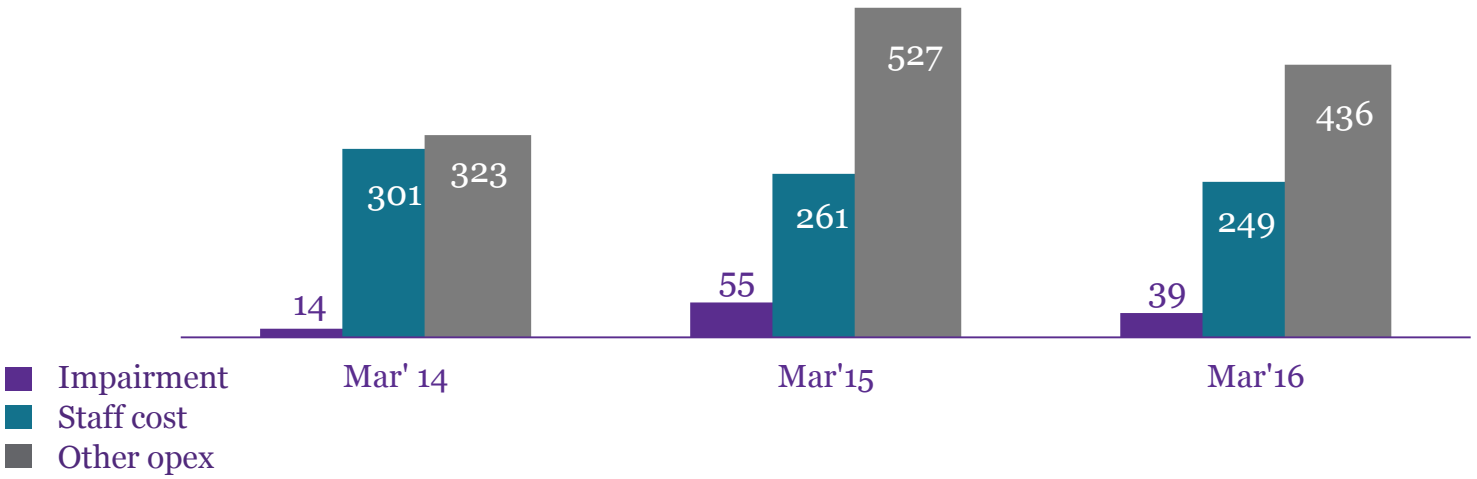
Underwriting expenses

- Net claims expense grew by 148% q/q to N463m in Q1'16. This is largely due to increased claims paid and IBNR for the period.
- Underwriting expense grew by 14% q/q in Q1'16. This is attributed to the growth in gross premium income for the period.



Operating expenses

- Total Operating expenses reduced by 14% q/q to N723m in Q1'16 (Q1'15: N844m). This is in line with our efforts to reduce operating costs margin as we continue to focus on long term sustainable growth.



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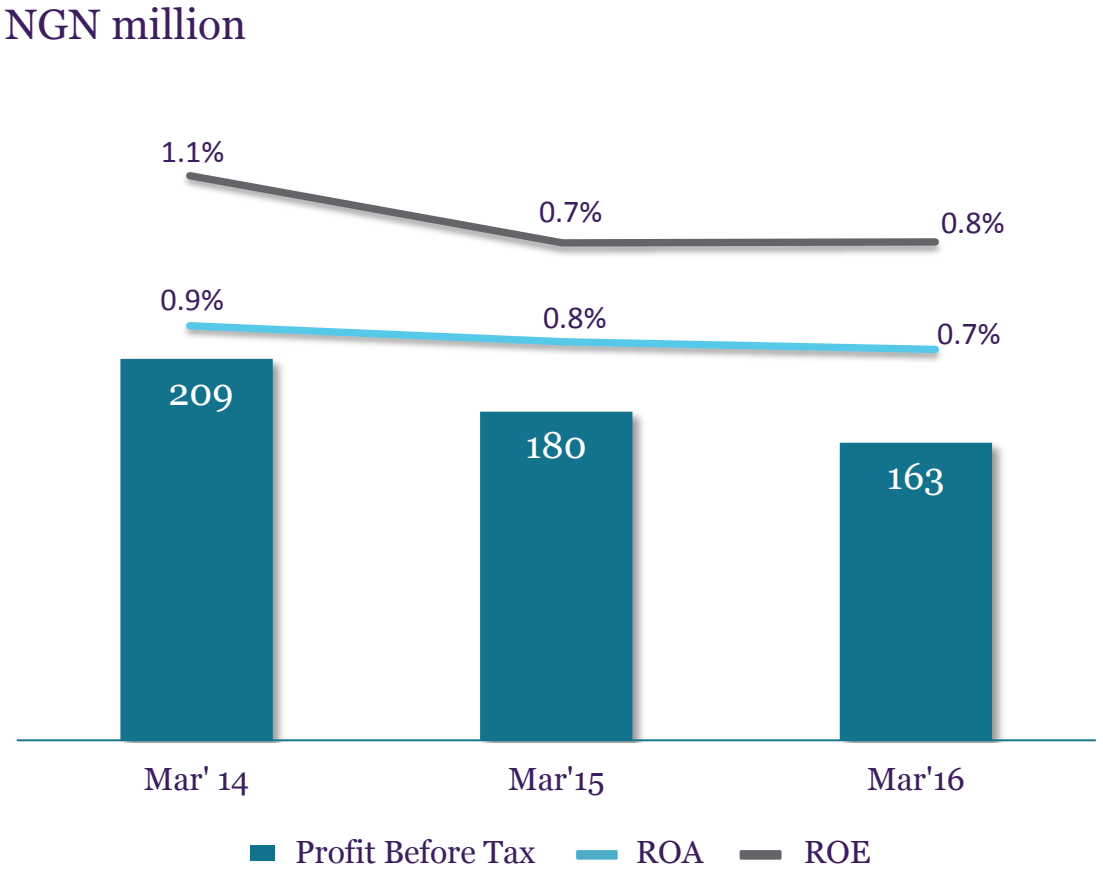
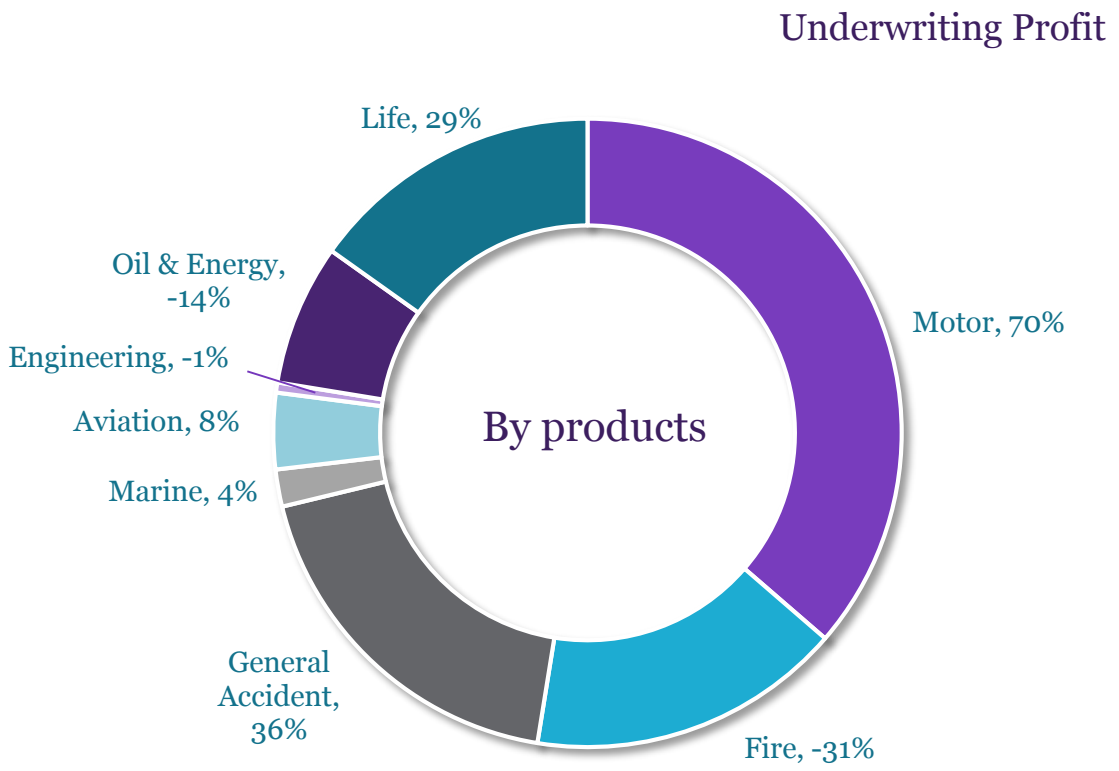
Group Profitability





- PBT reduced q/q by 9% to N163m in Q1'16 (Q1'15: N180m) largely driven by the reduction in investment income and increase in reinsurance expenses and total underwriting expenses for the period.
- ROA and ROE are at 0.7% and 0.8% respectively for the period.
- Motor vehicle is the Group's most profitable product for the period Q1'16, contributing 70% to the Group's underwriting profit, which is an evidence of the company's product innovation in Motor insurance (MOOV). It is followed by General accident and Life at 36% and 29% respectively.

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Statement of financial position

NGN million	Q1'16	2015	%Δ
Cash and cash equivalents	5,323	7,054	-25
Financial assets	5,079	4,313	+18
Reinsurance assets	1,463	923	+58
Trade receivables	428	552	-23
Other receivables & Prepayment	2,178	1,224	+78
Investment properties	675	675	0
Investment in associate	5,466	5,244	+4
Fixed assets and intangibles	2,475	2,410	+3
Other assets	1,535	1,300	+18
Total assets	**24,621**	**23,695**	+4
Trade payables	280	211	+33
Provisions & other payables	2,012	2,497	-19
Current income tax liabilities	189	152	+24
Insurance contract liabilities	5,882	4,677	+26
Investment contract liabilities	1,190	1,196	-0.5
Total liabilities	9,554	8,732	+9
Equity	15,067	14,962	+1
Total equity & liabilities	**24,621**	**23,695**	+4

Highlights

- Cash and cash equivalents reduced by 25% from its FY'15 position to take advantage of improved higher yield on Financial assets class.
- Investment property position is unchanged from its FY'15 position. Nevertheless, the Group continues to seek viable options for further divestment from it's existing low-yielding legacy properties.
- Trade receivables made up of outstanding premiums on broker-related businesses written during the period, is at N428m in Q1'16, a 23% reduction from its FY'15 position.
- Other receivables and prepayments increased by 78% compared to its FY'15 position with prepaid expenses and outstanding proceeds on investments accounting for a larger chunk of the growth.
- Trade payables grew by 33% in Q1'16 due to increased reinsurance obligations.
- Insurance contract liabilities increased by 26% from FY'15, following a growth in GWP during the period, and the need to maintain adequate reserves.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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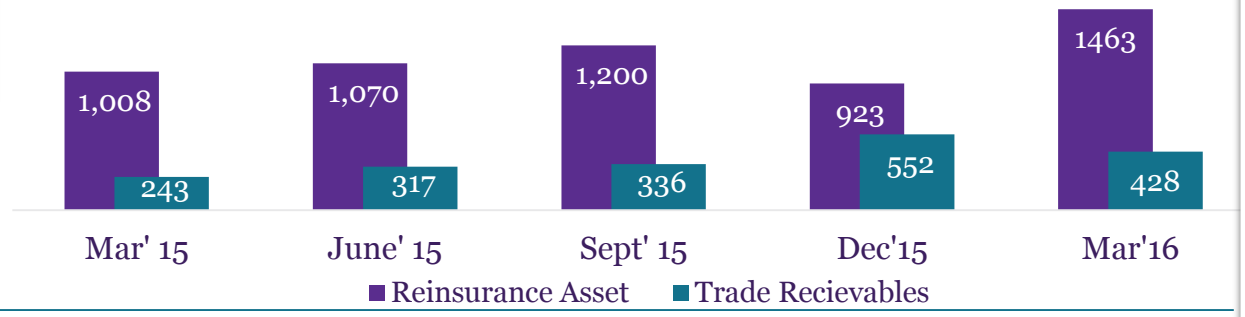
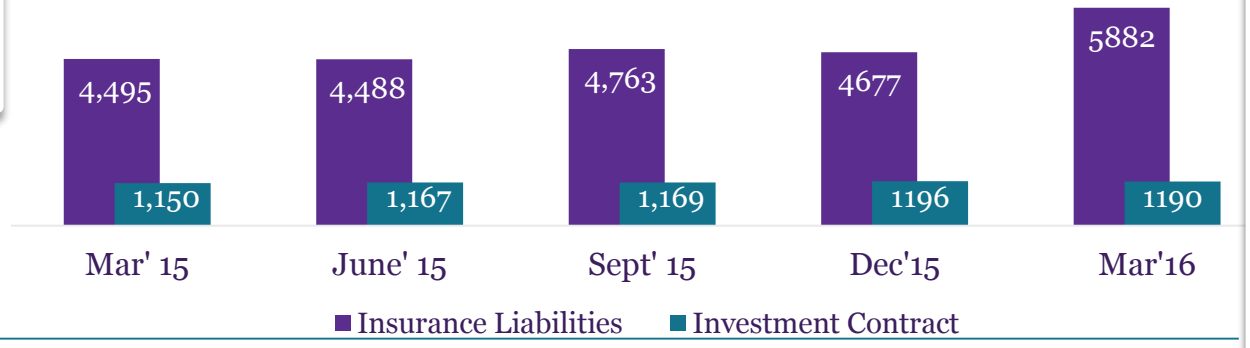
Highlights of Financial Position

NGN million

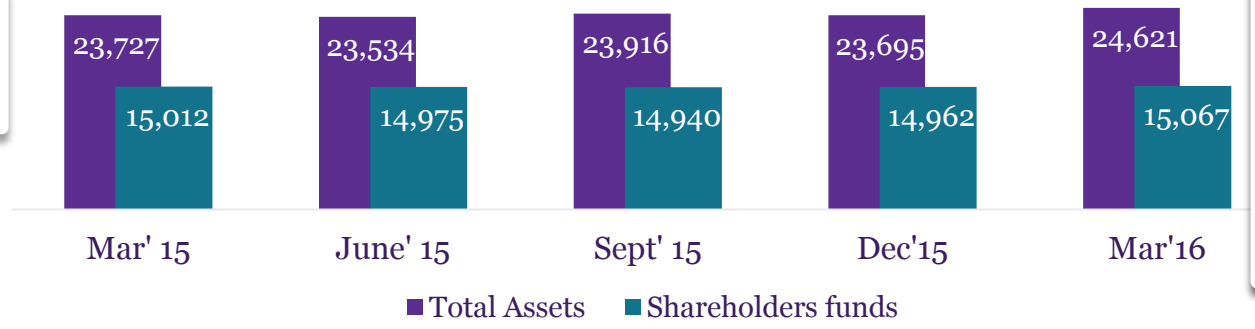
Reinsurance Assets & Trade Receivables



Insurance Liab. & Investment Contract



Total Assets & Shareholders Funds



Highlights

- Reinsurance assets grew by 58% to N1.5bn in Q1'16 (FY'15: N923m). This is due to increased prepaid reinsurance for the period, driven by the growth in gross reinsurance premium.
- Trade receivables on Broker related transactions is at N428m for Q1'16. The recognition of trade receivables from intermediaries is supported by credit notes to the extent that they are recoverable within 30 days.
- Insurance contract liabilities stood at N5.9bn representing a 26% growth from the FY'15 position of N4.6bn, largely driven by increased IBNR for the period.
- Investment Contract Liabilities reduced slightly by 0.5% in Q1'16, compared to the prior year end position.
- Total Assets is at a 4% growth from its FY'15 position while Shareholders funds remained relatively flat at a 0.7% increase for the period.

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Speaker Topics

Financial Highlights

Income Statement Review

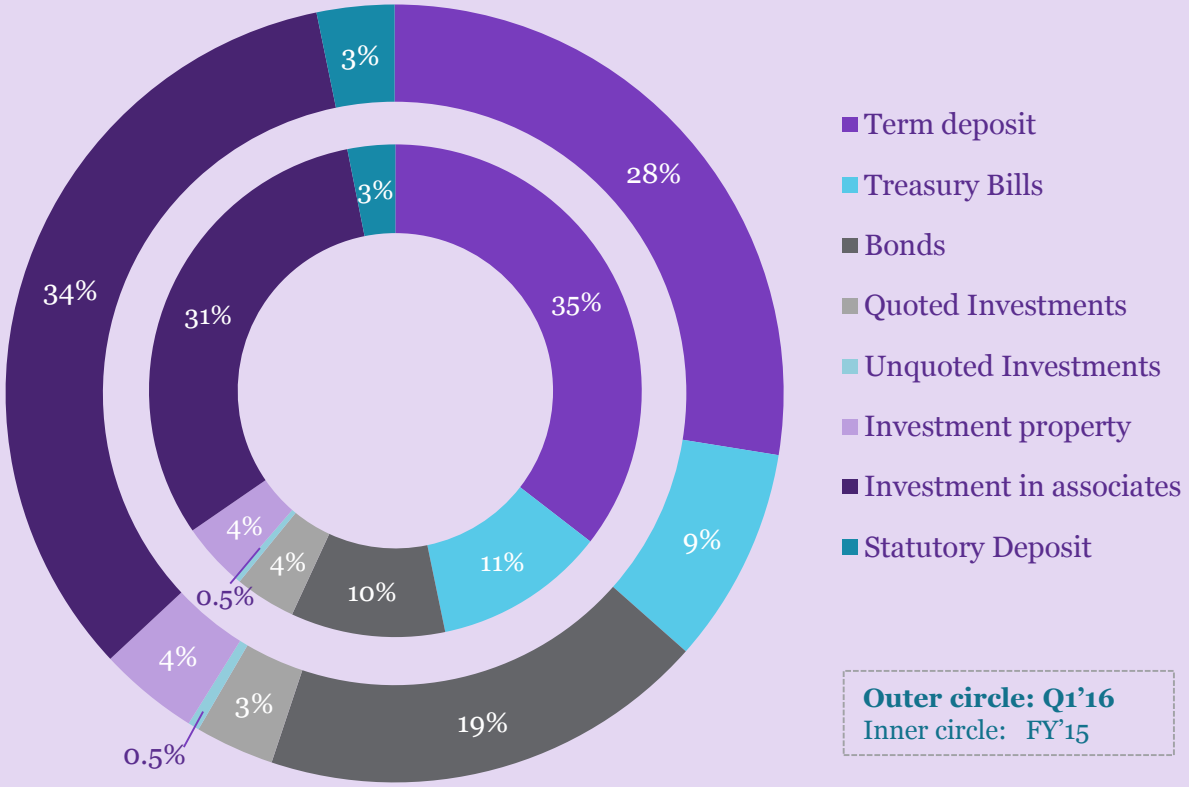
SOFP Review

Assets under Management

Assets under management

NGN million

	Q1'16	FY'15
Term Deposits	4,462	5,912
Treasury Bills	1,458	1,880
Bonds	3,012	1,689
Quoted Investments	533	668
Unquoted Investments	76	76
Investment Property	675	675
Investment in Associate	5,466	5,244
Statutory Deposit	522	522



- Treasury bills and Term deposit declined by 22% and 25% respectively from the FY'15 position to take advantage of improved higher yield on bonds asset class. Gradual increase and rebalancing strategy is to hold liquid assets to take advantage of emerging opportunities in the market.
- Bond yield improved during the quarter in response to monetary policy tightening and spike in inflation. This provides the basis of increased allocation to take advantage of improved yield.
- A reduction in quoted equity value reflects general bearish trend in the stock market during the period.

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Q2 Outlook

How we build for the future

FINANCIAL

- We expect topline growth of 30% y/y in line with our growth projections for 2016
- The general outlook for investments across markets is masked with uncertainties surrounding policy directions, crude oil and commodities prices. However, our strategic investment and asset allocation is positioned to deliver sustainable long term growth and returns
- Continuous focus on cost optimization in order to meet the target cost-to-income ratio
- Implementation of risk-based capital management structure

OPERATIONAL

- We are currently finalizing plans to adopt a HOLDCO structure for our business, after an overwhelming vote of confidence from Wapic Shareholders. We believe this structure will help us better position to achieve long term strategic growth objectives and to deliver maximum returns to our shareholders
- Implementation of a core application that will support our business growth and enhance service delivery and overall customer experience
- We have enlarged our business capacity through an improved review of our reinsurance covers to accommodate more risks

SALES

- In our drive to be omni-channel, we shall continue to solidify our direct sales business strategy, while building our Broker partnerships and digital presence
- With strategic investments in understanding our retail customers' needs, we shall be innovative in our product solutions and customer awareness initiatives
- We will intensify customer acquisition across retail channels and subsidiaries

PEOPLE

- We are committed to becoming a great place to work
- With the implementation of our Talent Optimization Framework, we expect greater role clarity for improved employee productivity
- We shall continue our investment in talent development and employee engagement
- Wapic Insurance Plc. has consolidated offices with the move to our state-of-the-art Green building at Number 119 Awolowo Road, Ikoyi. This move is both symbolic and transformational as we have built on the original foundation of the Wapic offices.

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Thank you

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Appendices

Appendix: Other Financial Highlights

NGN million

BALANCE SHEET

	Q1'16	YE'15	QoY
Total Assets	24,621	23,695	4%
Total Investments	11,598	12,563	-8%
Insurance & Invt Contract Liabilities	7,073	5,873	20%
Total equity	15,067	14,962	1%

EARNINGS

	Q1'16	Q1'15	QoQ
Gross Written Premium	3,022	2,716	11%
Gross earnings	3,398	3,324	2%
PBT	163	180	-9%
PAT	126	110	15%

KEY PERFORMANCE RATIOS

	Q1'16	Q1'15
Underwriting Profit Margin	12%	19%
Loss Ratio	42%	21%
Expense Ratio	11%	11%
Management Expense ratio	24%	31%
Combined ratio	78%	63%
Cost to income ratio	86%	82%
Pre - Tax Return on Average Assets	0.7%	1%
Post- Tax Return on Average Equity	0.8%	1%

SHAREHOLDING RATIO

	Q1'16	Q1'15
Share Outstanding (Mn Units)	13,383	13,383
Price (₦)	50k	50k
Market Capitalisation (N'000)	6,691,369	6,691,369

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Appendix: Group Operating Income Trend Analysis

Gross Earnings Evolution (N'm)	Q1'15	Q2'15	Q3'15	Q4'15	Q1'16
Underwriting Income	1,004	1,001	1,263	1,075	1,159
Non-underwriting Income	503	500	485	1,533	306

Operating Expenses (N'bn)	Q1'15	Q2'15	Q3'15	Q4'15	Q1'16
Employee Benefit Exp.	261	275	294	160	249
Other Operating Exp.	583	606	675	720	436

Underwriting Performance	FY'12	FY'13	FY'14	FY'15	Q1'16
Underwriting Exp.	16%	25%	19%	17%	11%
Net Claims Exp.	43%	73%	32%	41%	42%
Underwriting Margin	34%	-3%	23%	21%	12%

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Evolution Since 1958

wapic

1958 — March 14, 1958 - Incorporated as a private limited liability Company under the name of West Africa Provincial Insurance Company Limited

1978 — Became a Public Limited Liability Company & was listed on the Nigerian Stock Exchange

1997 — The Company was acquired by Intercontinental Bank Plc.

2000 — Secured a Life business license from NAICOM & became a Composite Insurance business

2007 — Separated the Life business and transferred the related assets and liabilities to Wapic Life Assurance Limited

2009 — Established Wapic Insurance Ghana Limited to transact general business

2011 — Became a subsidiary of Access Bank through Access Bank's acquisition of Intercontinental Bank Plc.

2013 — Access Bank divested through a share distribution scheme to comply with CBN directive on banking reforms

2014 — Launched new corporate identity

Secured AM Best Rating. Rated B- for financial stability and bb- for issuer credit

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